

become more accessible and affordable, the use of AI has become widespread. However, true AI startups that leverage proprietary, computational, deep-tech AI are just beginning to emerge and find markets in a variety of industries. To drive profits, these startups and larger tech companies must select the right revenue models, which may differ from those used by typical enterprise SaaS vendors. There are at least five main revenue models that can work for AI companies, and founders and investors can benefit from an overview of each model.

1. **SaaS Subscription:** The SaaS subscription model is a tried and true method used by most enterprise software companies, and it can also be effective for AI companies. This model comes in many forms, such as monthly per-seat, monthly all-you-can-eat, or annual subscriptions. It is particularly suitable for AI companies that provide a specialized, industry-specific application, such as those in healthcare, HR, education, logistics, or real estate. Users in these fields are typically comfortable with paying for software through a SaaS subscription model.
2. **SaaS as a Service:** As the name suggests, this revenue model involves offering AI solutions as a one-time or annual service. It is becoming increasingly popular among AI companies that provide vertical-specific applications or software-only solutions. For instance, robotics companies that leverage advanced AI technology often provide their solutions as a service. This includes robots that weed farmers' fields twice a year, harvest apples in the fall, or measure the floor layout on a construction project. Similarly, software-only AI companies that provide one-time services can also leverage this model. For example, an AI application that trains a self-driving robot and is only used once a year to provide updates. This revenue model is ideal if the target customer is used to paying for a specific service, such as a farm paying for a certain amount of harvested apples.
3. **Usage based:** This revenue model, which is slightly more nuanced than SaaS as a Service, enables AI companies to charge for their software based on predefined usage metrics, such as the number of queries, the volume of data served, the number of models created, or other consumption-based measurements. AI companies operating in the retail, financial services, engineering, and autonomous vehicle modeling sectors are well-positioned to implement this model successfully.
4. **Transactional:** The transactional revenue model is becoming more popular among AI companies, although it is not widely used yet. Under this model, an AI company charges a fee for each transaction that occurs on its platform or each time its software is used to complete a specific action. Companies in